

Break it down if there are too many subsidiaries

Having too many subsidiaries isn't a red flag in itself. However, we must break it down into as much detail as possible. This gives us a clear understanding of the performing and non-performing subsidiaries.

Having a lot of subsidiaries isn't a red flag for a large company. However, let's say a company with sales of 300 Cr has 100 subsidiaries. This makes no sense. Ask reasons to the management why they need as many subsidiaries. If we do not get satisfactory answers, we should disassociate from the company.

The size of the company and the number of subsidiaries should be in sync. Although there is no fixed rule, a small company should not have a lot of subsidiaries. If it does, we should consider it as a warning and break it down.

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Although not an exhaustive list, these are different red flags we may come across. This will help us identify companies that may be doing something wrong.

